has begun to reverse these policies to combat elevated inflation, with uncertain longer-term impact.

My best advice for readers is to continue to invest bottom-up, while avoiding being completely wrong-footed by keeping one eye on the prevailing macro backdrop. To ignore the Fed's presence would be to put oneself fully at the mercy of policymaker overreach or misstep. Most important, value investors must fight the tendency to be lulled into a false sense of security by subdued volatility or elevated valuations that may swiftly reverse, and they must never rely on the Fed to rescue them from the overvalued investments they may make.

VALUE INVESTING IN 2022: CHALLENGES AND OPPORTUNITIES

Deep-pocketed, bargain-seeking competitors are the enemy of superior investment performance. Today's vast pools of capital ensure that few investments are completely orphaned or overlooked. Battalions of analysts, many of whom grew up reading prior editions of this very book, are peering into the nooks and crannies of every financial market. While there are many forces that can propel the prices of securities away from fundamental value, buy-side competition is consistently pushing in the other direction. Even a few competitors bidding for an investment can ruin a good thing; it takes only one aggressive buyer to fully correct a mispricing.

Yet the good news for value investors is that even with a large value-investing community, there are far more market participants who invest without a long-term value orientation. Most managers concentrate almost single-mindedly on the growth rate of a company's earnings or the momentum of its share price. Meanwhile, vast amounts of capital have been flowing into index funds to save money on fees and transaction costs. Index managers automatically buy the stocks in an index, doing no fundamental analysis to validate the purchases. Of